

2. Increase due to price vs. increase due to volumes

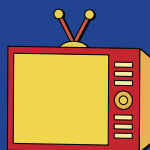
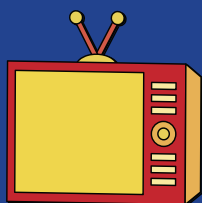
We now move on to Increase due to price vs. increase due to volumes. Businesses can increase their sales in two ways:

- ◇ Increase in price: If the business sold 100 units for Rs 10 last year and increases the unit price to Rs 12 for the same number of units in the current year.
- ◇ Increase in volume: If the business sold 100 units for Rs 10 last year and increased the volume of units sold to 120, keeping the same price in the current year.

It is also possible to increase both these factors under optimal circumstances. This phenomenon is called the pricing power of a company, which is the company's ability to increase the prices without seeing a reduction in volumes sold.

This means if I was selling something for Rs 5 and was selling 100 units earlier, I should still be able to raise the price to Rs 8 and sell the same number of units. On the contrary, if I'm only selling 50 units for Rs 8, this really does not denote pricing power. Pricing power helps us understand the competitive position of the company and industry in the market.

EXAMPLE



X 100 Units

Situation I ---> Selling T.V. for Rs 5

Selling 100 units of T.V. earlier

Situation II --> Increase price & sell for Rs 8

Still selling 100 units of T.V.

This denotes pricing power

Situation III --> Increase price & sell for Rs 8

But selling 50 units of T.V.

This denotes lack of pricing power